

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Excel file for this chapter: [excel/Ch08_Irrecoverable_Debts.xlsx](#). The worked examples below come from its orange Worked tabs; questions 8.8 to 8.12 are self-marking on the blue tabs.

All amounts are in Malaysian Ringgit (RM).

1. Learning goals

By the end of this chapter you should be able to:

1. Explain what an irrecoverable debt is.
2. Write off an irrecoverable debt in the ledger.
3. Record a debt that was written off and later paid (recovered).
4. Explain why a business creates an allowance for irrecoverable debts.
5. Calculate the allowance and the increase or decrease each year.
6. Show irrecoverable debts and the allowance in the Statement of Profit or Loss and the Statement of Financial Position.

2. Key words

Term	Meaning
Trade receivables	Customers who bought goods on credit and still owe the business money.
Irrecoverable debt	A debt the business is sure it will never collect. Example: the customer is bankrupt or has disappeared.
Writing off	Removing the debt from the customer's account and treating the loss as an expense.
Debt recovered	A debt written off in the past which the customer later pays.
Allowance for irrecoverable debts	An estimate of the debts which might not be paid in the future.
Prudence	Do not overstate assets or profit. Record losses as soon as they are likely.

3. Why do irrecoverable debts happen?

Selling on credit brings more customers, but some customers will not pay.

Common reasons:

- The customer is bankrupt (has no money).
- The customer has died or cannot be found.
- The amount is too small to be worth chasing through the courts.

4. Writing off an irrecoverable debt

When you are **certain** a debt will not be paid:

Step	Debit	Credit
Write off the debt	Irrecoverable debts account	Customer's account (trade receivable)
At the year end	Statement of Profit or Loss (expense)	Irrecoverable debts account

Worked example 8.1

Kofi owes the business RM600. On 30 June 2025 Kofi is declared bankrupt. Nothing will be paid.

Journal

Date	Particulars	Debit (RM)	Credit (RM)
2025 Jun 30	Irrecoverable debts	600	
	Kofi		600
	<i>(Being debt written off: customer declared bankrupt)</i>		

Ledger accounts

Dr Kofi Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Jun 1	Balance b/d		600	2025 Jun 30	Irrecoverable debts	GJ1	600

Dr Irrecoverable Debts Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2025 Jun 30	Kofi	GJ1	600	2025 Dec 31	Income statement	GJ2	600

Effect: profit falls by RM600. Trade receivables fall by RM600.

5. A debt written off is later recovered

Sometimes a customer pays after the debt was written off. Two steps:

Step	Debit	Credit	Why
1. Reinstate the debt	Customer's account	Irrecoverable debts recovered	Keeps a full record of the customer's history.
2. Record the cash	Bank (or Cash)	Customer's account	The customer pays.

At the year end, **irrecoverable debts recovered** is shown as **other income** in the Statement of Profit or Loss (added to gross profit).

Worked example 8.2

Last year the business wrote off RM300 owed by Lina. This year Lina pays the RM300 by cheque.

Date	Particulars	Debit (RM)	Credit (RM)
	Lina	300	
	Irrecoverable debts recovered		300
	<i>(Being debt written off last year reinstated)</i>		
	Bank	300	
	Lina		300
	<i>(Being cheque received from Lina)</i>		

Effect: profit rises by RM300. Bank rises by RM300.

6. Allowance for irrecoverable debts

6.1 What is it?

At the year end, the business does not know which customers will fail to pay. It knows from experience that **some** will not pay. So it makes an **estimate** and keeps it in an account called **Allowance for irrecoverable debts**.

- It is usually a **percentage of trade receivables**. Example: 5% of trade receivables.
- Always write off known irrecoverable debts **first**, then calculate the allowance on the balance left.

6.2 Why create it?

- **Prudence:** it stops the business showing trade receivables at a value higher than it will collect.
- **Accruals (matching):** the expected loss is charged in the same year as the credit sales that caused it.
- It gives a **true and fair** value of trade receivables in the Statement of Financial Position.

6.3 Irrecoverable debt vs allowance

Irrecoverable debt	Allowance for irrecoverable debts
Certain loss	Estimated (possible) loss
Linked to a named customer	Not linked to any one customer
Customer account is closed (credited)	Customer accounts do not change
Full amount is an expense	Only the increase (or decrease) goes to SPL

7. Recording the allowance

Only the **change** in the allowance goes to the Statement of Profit or Loss.

Situation	Debit	Credit	SPL effect
Creating the allowance (first year)	Statement of Profit or Loss	Allowance for irrecoverable debts	Expense (full amount)
Increase in allowance	Statement of Profit or Loss	Allowance for irrecoverable debts	Expense (increase only)
Decrease in allowance	Allowance for irrecoverable debts	Statement of Profit or Loss	Income (decrease only)

Three-step method

1. Required allowance = trade receivables (after write-offs) x percentage.
2. Change = required allowance at the end of the year minus the allowance brought forward.
3. Positive change = increase = expense. Negative change = decrease = income.

Worked example 8.3

A business keeps an allowance of **5%** of trade receivables. Year end is 31 December.

Item	2023	2024	2025
Trade receivables before write-offs	20,500	26,800	18,600
Less: irrecoverable debts written off	500	800	600
Trade receivables after write-offs	20,000	26,000	18,000
Allowance rate	5%	5%	5%
Step 1: allowance required at year end	1,000	1,300	900
Less: allowance brought forward	0	1,000	1,300
Step 2: change (+ increase, - decrease)	1,000	300	(400)
Step 3: treatment in the SPL	Expense 1,000	Expense 300	Income 400
Net trade receivables in the SOFP	19,000	24,700	17,100

Dr Allowance for Irrecoverable Debts Account Cr

Date	Particulars	Folio	Amount (RM)	Date	Particulars	Folio	Amount (RM)
2023 Dec 31	Balance c/d		1,000	2023 Dec 31	Income statement (increase)	GJ1	1,000
			1,000				1,000
2024 Dec 31	Balance c/d		1,300	2024 Jan 1	Balance b/d		1,000
				Dec 31	Income statement (increase)	GJ1	300
			1,300				1,300
2025 Dec 31	Income statement (decrease)	GJ1	400	2025 Jan 1	Balance b/d		1,300
Dec 31	Balance c/d		900				
			1,300				1,300
				2026 Jan 1	Balance b/d		900

Note: the allowance has a **credit** balance. It reduces an asset.

8. Showing it in the financial statements

Statement of Profit or Loss (extract) for the year ended 31 December 2025

This extract uses example 8.3 (decrease of RM400), example 8.2 (RM300 recovered) and an irrecoverable debt of RM600 written off in the year. The gross profit figure is for illustration.

	Particulars	RM	RM	RM
	Gross profit			40,000
Add:	Other income			
	Decrease in allowance for irrecoverable debts		400	
	Irrecoverable debts recovered		300	700
				40,700
Less:	Expenses			
	Irrecoverable debts		600	

If the allowance had **increased**, the increase would be listed under **expenses** instead.

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Trade receivables	18,000		
Less:	Allowance for irrecoverable debts	(900)	17,100	

9. Common mistakes

- Charging the **whole** allowance to the SPL every year. Charge only the **change**.
- Calculating the percentage **before** writing off the irrecoverable debts.
- Adding the allowance to receivables. You **subtract** it.
- Forgetting that a decrease in the allowance is **income**.

10. Quick summary

- Irrecoverable debt: certain loss. Dr Irrecoverable debts, Cr Customer.
- Recovered debt: reinstate the debt, then record the cash. It is income.
- Allowance: an estimate based on prudence. Only the change hits profit.
- SFP shows trade receivables **less** the allowance under current assets.

11. Check yourself

1. A customer owing RM450 is bankrupt. Give the double entry.
2. Trade receivables are RM32,000 and the allowance is to be 2.5%. The allowance brought forward is RM900. What goes to the SPL?
3. Name two accounting concepts which support the allowance.

Answers: see `model-questions/Answer_Key.md` , Chapter 8 section.